

Amendment No. 1 to SB2205

Bailey
Signature of Sponsor

AMEND Senate Bill No. 2205*

House Bill No. 2450

by deleting all language after the caption and substituting:

WHEREAS, the General Assembly finds and declares that:

(1) Surface transportation corridors throughout the State are increasingly limited by existing development, right-of-way limitations, topographical and environmental constraints, and urban density, making conventional surface expansion difficult, costly, and disruptive;

(2) Sustained population growth and economic development in this State continue to generate increasing demand for expanded transportation capacity and more safe and efficient transportation options for both residents and visitors;

(3) The development of subterranean transportation infrastructure offers a highly effective and efficient means of significantly expanding transportation capacity while minimizing surface disruption, preserving existing land uses, reducing environmental impacts at grade level, and avoiding widespread acquisition of additional surface rights-of-way;

(4) Uniform, clear, and predictable state-level standards, procedures, and regulatory oversight for the design, construction, safety, inspection, and operation of subterranean tunnel transportation systems are essential to ensure the highest levels of public safety, structural integrity, and engineering and design consistency across all such projects in this State;

(5) The establishment of predictable, efficient, and transparent approval pathways, permitting processes, and regulatory frameworks at the state level are critical to reduce uncertainty, shorten project timelines, and mitigate unnecessary duplication between state and local jurisdictions; and

(6) Such predictable and streamlined regulatory pathways are necessary to attract substantial private capital investment, innovation, and expertise into the development of advanced subterranean transportation infrastructure, thereby leveraging private resources to help meet this State's critical long-term transportation needs at a reduced cost to taxpayers; now, therefore,

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 65, is amended by adding the following as a new chapter:

65-13-101. Short title.

This act is known and may be cited as the "Subterranean Transportation Infrastructure Coordination Act."

65-13-102. Creation of Subterranean Transportation Infrastructure Coordination Authority.

There is created the subterranean transportation infrastructure coordination authority upon the later of:

(1) Thirty (30) days after an operator contracts with this state for a lease interest in real property owned by this state for the purpose of constructing a transit project; or

(2) July 31, 2026.

65-13-103. Chapter definitions.

As used in this chapter:

(1) "Authority" means the subterranean transportation infrastructure coordination authority created by § 65-13-102;

(2) "Board" means the board of directors of the authority;

(3) "Local governmental entity" means an incorporated city or town, metropolitan government, county, or other political subdivision of this state, and includes a board, commission, council, agency, committee, utility, building or

codes authority, development or other district, and any other instrumentality thereof created by a local governmental entity;

(4) "Operator" means a public or private entity proposing to design, construct, own, operate, or maintain, or that is a party to an agreement for the design, construction, operation, or maintenance of a transit project;

(5) "Surface construction" means construction occurring above ground and outside of the points designated pursuant to § 65-13-108(b) for entry into and exit from a transit project; and

(6) "Transit project" or "project" means a subterranean tunnel or system of subterranean tunnels designed primarily for the transportation of passengers or goods using electric, autonomous, or low-emission vehicles, or other emerging technology for vehicles and transportation systems, where the tunnels are constructed at depths sufficient to avoid interference with surface uses.

65-13-104. Powers of authority.

(a) The authority is vested with all powers necessary for and consistent with accomplishing the purposes of this chapter, including, but not limited to, the power to:

(1) Adopt, amend, and repeal bylaws;

(2) Execute contracts and leases in accordance with § 65-13-109, including a contract or lease that vests an operator with any of the enumerated powers of the authority as prescribed in this chapter other than a power that is inherently and exclusively a governmental power or function;

(3) Employ a chief executive officer, legal counsel, and other individuals necessary to exercise the powers of the authority or transact business, and create, combine, consolidate, or abolish divisions within the authority as the board deems necessary for the transaction of the authority's business;

(4) Retain third-party contractors and agents as the board deems necessary for the transaction of the authority's business and require or waive the bond of a contractor or agent as the board may deem appropriate;

(5) Enforce compliance with this chapter and the bylaws, rules, policies, standards, codes, or land use regulations adopted pursuant to this chapter in a court of competent jurisdiction pursuant to § 65-13-114 and seek any remedy available under applicable law or in equity;

(6) Own, acquire, purchase, option, convey, exchange, donate, sell, gift, rent, lease, improve, maintain, operate, and equip real and personal property, without the need for separate approval from another state or local governmental entity, notwithstanding the requirements contained in § 12-2-112;

(7) Whether by purchase, exchange, gift, lease, contract, or otherwise, develop, improve, maintain, equip, operate, and furnish one (1) or more transit projects, including, but not limited to, all real and personal property that the board may deem necessary in connection with a transit project, regardless of whether or not such project is now in existence;

(8) Lease to an operator one (1) or more transit projects and, in the board's sole discretion, establish, charge, waive, and collect rent for the projects, and execute amendments to the leases, which amendments, among other things, may provide for extending the terms of the leases and amending or extending rents or other payments due under the leases, together with all other terms and conditions as the board may deem advisable;

(9) Sell or lease to an operator one (1) or more transit projects for such payments or other consideration and upon the terms and conditions as the board may deem advisable;

(10) Develop, improve, and maintain the grounds within and without the transit project under the control and jurisdiction of the authority, including, but not

limited to, construction and maintenance of roads and buildings, utilities, signage, trash removal, vegetation control, and landscaping;

(11) Grant mortgages, deeds of trust, easements, or other encumbrances on all or a part of the transit project property, including, but not limited to, subordinating this state's ownership interest in all or a part of the transit project's property;

(12) Have exclusive control of and responsibility for the administration of properties and facilities constructed or acquired pursuant to this chapter, except as otherwise expressly provided in this chapter;

(13) Accept and distribute federal grants and other non-state funded incentives to induce the construction and completion of transit projects, expand, contract, modify, or divert existing transit projects, or otherwise in furtherance of the purposes of this chapter;

(14) Regulate land use, utilities and utility systems, and other necessary infrastructure within and without a transit project in accordance with this chapter;

(15) Enter into agreements with owners or lessees of real and personal property located adjacent to a transit project;

(16) Enter into agreements with local governments pursuant to title 12, chapter 9, or state governmental entities, regarding the provision of governmental services to the transit project;

(17) Contract for utility services for the construction, regulation, operation, and maintenance of a transit project, including the power to plan, establish, develop, investigate, study, acquire, purchase, construct, equip, improve, repair, extend, maintain, and operate utilities and utility systems within the transit project to serve the transit project;

(18) Do and perform each and every act and thing and have and exercise each and every power that the board, in the board's sole discretion,

deems necessary, convenient, or appropriate, to accomplish the purposes of this chapter. The inclusion of a specific power in this chapter does not limit the broad general powers granted to the authority. The exercise of the authority's powers, including, but not limited to, the powers with respect to the disposition, development, encumbrance, lease, sublease, or improvement of state property, are exclusive and are not subject to further approval, except as expressly provided in this chapter;

(19) Promulgate by rule fees for permits, applications, and other administrative functions; and

(20) Promulgate rules and emergency rules in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5. The board may require that a board action be accomplished by rule. Otherwise, a board action may be accomplished by majority vote of the entire membership of the board.

(b) Except as otherwise expressly provided in this chapter, and notwithstanding title 4, chapter 15, part 1, or another law to the contrary, the powers of the authority are exclusively vested in the authority.

65-13-105. Board of directors.

(a)

(1) The authority is governed by a board of directors. The board consists of eleven (11) voting members as follows:

(A) One (1) member to be appointed by the governor;

(B) Three (3) members to be appointed by the speaker of the house of representatives;

(C) Three (3) members to be appointed by the speaker of the senate;

(D) The state fire marshal, ex officio, or the state fire marshal's designee;

(E) The commissioner of commerce and insurance, ex officio, or the commissioner's designee;

(F) The commissioner of transportation, ex officio, or the commissioner's designee; and

(G) The commissioner of environment and conservation, ex officio, or the commissioner's designee.

(2) The governor and the speakers of the senate and house of representatives shall strive to appoint members to the board with diverse academic and professional backgrounds with expertise in the construction, operation, and maintenance of a transit project or similar project.

(b) The term for a board member who does not serve ex officio is four (4) years. A board member who does not serve ex officio is eligible for reappointment and may serve consecutive terms. At the expiration of a board member's term, the member may continue to serve until a successor is appointed or until the member is reappointed.

(c) A vacancy on the board for a member who does not serve ex officio must be filled for the remainder of the term by the appropriate appointing authority.

(d) The terms for the initial board members who do not serve ex officio begin on July 1, 2026.

(e) Six (6) board members constitute a quorum for the transaction of business. If a quorum is present, a vacancy on the board does not prevent the board from transacting business or otherwise taking an action authorized pursuant to this chapter.

(f) The governor shall call the first meeting of the board and the board shall appoint a member to serve as chair. The board may elect other officers as the board may deem appropriate. At the first board meeting of each calendar year, the board shall establish or revise its bylaws, as applicable, and set a meeting schedule for the

remainder of the calendar year. The board shall also meet at the call of the chair or a majority of the membership of the board.

(g) An ex officio board member shall not receive compensation for service as a board member, except that an ex officio board member must be reimbursed for travel expenses incurred in the performance of the board member's official duties. Appointed board members receive two thousand dollars (\$2,000) per month for the first three (3) years of the authority's existence, plus reimbursement for travel expenses incurred in the performance of the board member's official duties. After the first three (3) years of the authority's existence, an appointed board member shall only receive reimbursement for travel expenses for service as a board member. All reimbursement for travel expenses must be in accordance with the comprehensive travel regulations as promulgated by the department of finance and administration and approved by the attorney general and reporter.

(h) A board member who is not an ex officio member may be removed from the board by the member's appointing authority with or without cause or by majority vote of the entire membership of the board.

(i) All board meetings must comply with the open meetings provisions compiled in title 8, chapter 44.

(j) Each appointed member of the board shall disclose conflicts of interest in accordance with title 8, chapter 50, part 5.

65-13-106. Chief executive officer.

The board may establish the office of the chief executive officer of the authority and appoint a chief executive officer. A chief executive officer serves at the pleasure of the board. For each chief executive officer, the board shall enter into a contract with the chief executive officer establishing the chief executive officer's salary. All reimbursement for the chief executive officer's travel expenses must be in accordance with the

comprehensive travel regulations as promulgated by the department of finance and administration and approved by the attorney general and reporter.

65-13-107. Leases, agreements, permits, and approvals.

(a) If a state or local governmental entity, including an official or officer of the respective entity, has entered into an agreement or issued a permit or approval for the construction of a transit project, whether or not now in existence or completed, prior to July 1, 2026, the agreement, permit, or approval remains in effect and enforceable until the agreement, permit, or approval is transferred or assigned to the authority pursuant to subsection (b).

(b) No later than October 1, 2026, agreements, permits, and approvals described in subsection (a) must be transferred or assigned to the authority.

(c) The terms and conditions of agreements, permits, and approvals transferred or assigned pursuant to subsection (b) remain in full force and effect. The authority may negotiate with the applicable party to a transferred or assigned agreement, permit, or approval to amend, revise, cancel, renew, or extend the agreement, permit, or approval.

(d) A lease or other agreement, permit, or approval executed on or after July 1, 2026, including a subterranean lease or agreement:

(1) If executed with a local governmental entity, must not contain encumbrances, burdens, restrictions, conditions, or requirements that are more stringent than those of a similar lease or other agreement, permit, or approval executed or issued by the department of transportation for comparable state-owned property. If no substantially similar lease or other agreement, permit, or approval exists, the authority shall determine whether any encumbrance, burden, restriction, condition, or requirement is necessary, directly related to the protection of public health, safety, or welfare, and consistent with the purposes of this chapter; and

(2) If necessary in furtherance of any power or duty of the authority or board under this chapter, must be approved by the authority or the authority must be a party to the lease or agreement.

(e) A provision of a lease or other agreement, permit, or approval in violation of subsection (d) is void and unenforceable.

65-13-108. Description of transit project -- Designation of transit project entrance and exit.

(a)

(1) For each transit project, the board shall cause to be produced a legal description of the project, including:

(A) The metes and bounds of the surface boundary under which the transit project lies;

(B) A three-dimensional description of the subterranean boundaries of the transit project;

(C) Surface and subsurface easements and rights-of-ways;

(D) Each point for public or vehicular entry into and exit from the transit project designated pursuant to subsection (b);

(E) Each point of ingress or egress for maintenance, the provision of emergency services, or other purposes; and

(F) Additional descriptive information as deemed necessary by the board.

(2) The authority shall record a legal description produced under subdivision (a)(1) with the state building commission, the respective departments of the ex officio members of the board, the register of deeds for each county in which the transit project is sited, in whole or in part, and any other state or local governmental entity or official as deemed necessary by the board.

(3) Before the expansion, contraction, diversion, or modification of an existing transit project, the board shall cause to be produced and recorded a legal description of the expansion, contraction, diversion, or modification in accordance with subdivisions (a)(1) and (2).

(b) The board shall designate each point for public or vehicular entry into and exit from a transit project for purposes of exercising jurisdiction over the transit project with respect to applicable local governmental laws, rules, and regulations, building, safety, and fire codes, and enforcement of motor vehicle laws.

65-13-109. Board authority to contract with operator. Operator contracts with local governmental entities.

(a) The board may execute a contract, lease, or other agreement with an operator for the design, construction, operation, and maintenance of a transit project. The board is exempt from the requirements of title 4, chapter 55, and the requirements of title 12, chapters 3 and 4, for purposes of executing the contract, lease, or agreement.

(b) The operator may contract with a local governmental entity for the purposes of facilitating the construction, operation, or maintenance of a transit project, including the purchase or lease of an interest in property.

65-13-110. Board authority to streamline permitting and regulatory process for subterranean transit project.

(a) The board shall prescribe by rule a streamlined, state-level application, approval, permitting, inspection, and regulatory process for the design, construction, operation, and maintenance of the subterranean portion of a transit project located between the points of entry and exit designated pursuant to § 65-13-108(b). The rules must establish:

(1) Uniform building, engineering, construction, safety, inspection, permitting, land use, ventilation, and related standards and codes;

(2) A single, consolidated state application and approval process that preempts conflicting or duplicative local permitting and inspection requirements for subterranean elements of a proposed or approved transit project;

(3) Defined timelines for review and approval of applications, submissions, appeals, and other administrative matters; and

(4) A process for appeals submitted to the authority. The process must provide an affected local governmental entity with an opportunity to respond.

(b) The board may coordinate with appropriate state and local governmental entities to ensure comprehensive oversight of the subterranean portion of a transit project to avoid undue delay.

65-13-111. Codes and permitting for surface construction and operation above ground - Land use - Appeals of adverse decisions.

(a)

(1) Except as provided in subsection (b), for surface construction an operator shall comply with the standards adopted pursuant to § 65-13-110(a).

(2) An operator shall submit its applications, plans, and other required documents for surface construction to the authority for approval in accordance with the application and approval process established by the authority pursuant to § 65-13-110(a).

(b)

(1) Except as provided in subsection (c), if the local governmental entity in which surface construction is or will be occurring for the transit project has adopted more stringent, applicable building standards pursuant to § 68-120-101 or another law, or more stringent land use regulations, then the operator shall comply with the standards or regulations for such surface construction; provided, that the local governmental entity:

(A) Shall not adopt a building standard, land use regulation, ordinance, resolution, regulation, rule, or other requirement of any type that prohibits, effectively prohibits, or otherwise regulates the use of property or construction for a project in the local governmental entity's jurisdiction; and

(B) May waive application of its standards or regulations to the transit project. If a local governmental entity waives application of its standards or regulations to the project, then the operator must comply with the standards, regulations, and process established by the authority pursuant to § 65-13-110(a).

(2) The operator shall submit applications, plans, and other required documents for surface construction subject to more stringent, applicable local standards or regulations to the appropriate local governmental entity for approval.

(3) No later than ten (10) business days after receipt of an operator's application, plan, or documentation the local governmental entity shall:

(A) Approve the application, if the plans comply with applicable codes and land use regulations;

(B) Provide to the submitting operator a report of deficiencies; or

(C) Request additional information necessary to ensure compliance with applicable codes.

(4) If the local governmental entity does not approve an application or plan submitted pursuant to subdivision (b)(3), or does not take action as required by subdivision (b)(3), then:

(A) The operator may appeal to the authority; and

(B) If the operator chooses to appeal to the authority pursuant to subdivision (b)(4)(A), all pending applications and plans related to the

operator's project must be transferred to the authority, and subsequent applications and plans necessary for the project must be submitted to the authority in accordance with the application and approval process established by the authority pursuant to § 65-13-110(a).

(5)

(A) The authority shall provide notice to the applicable local governmental entity if the authority receives an appeal submitted in accordance with subdivision (b)(4). The notice must include the date, location, and time for the hearings applicable to the appeal, including the hearing at which the local governmental entity may respond to the appeal.

(B) The authority may overturn or amend the decision of a local governmental entity with respect to an appealed application or plan in accordance with the procedure established by the authority pursuant to § 65-13-110(a). A decision made by the authority for an appeal submitted in accordance with subdivision (b)(4) is final for purposes of judicial review.

(c)

(1) Notwithstanding subsection (b) or another law to the contrary, the state fire marshal has exclusive jurisdiction over:

(A) Plan reviews, permitting, and inspections for, and enforcement of, standards and codes designed to afford a reasonable degree of safety to life and property from fire and fire hazards for a transit project; and

(B) An application for and issuance of a certificate of occupancy for a transit project or a portion thereof.

(2) A local governmental entity shall not:

(A) Delay or deny an application, plan, form, or other document submitted under subsection (b) based, in whole or in part, on a decision related to a certificate of occupancy or fire safety and standards; or

(B) Require an operator to submit an application, plan, form, or other document for purposes of obtaining a permit or certificate related to fire safety or standards, or otherwise obtain from the local governmental entity a certificate of occupancy or approval related to fire safety for a transit project or any portion thereof.

65-13-112. Utilities - Appeals of adverse decisions.

(a) As used in this section:

(1) "Political subdivision" means a county, municipality, metropolitan government, or incorporated city or town in this state;

(2) "Utility" means:

(A) A utility owned or operated by a political subdivision or a division, department, agency, or other entity of a political subdivision, that provides a utility service to the public;

(B) A utility system, as defined under § 7-82-701;

(C) A public utility, as defined under § 65-4-101, that provides a utility service; or

(D) A cooperative, as defined under § 65-25-102; and

(3) "Utility service" means water, wastewater, storm water, sewage, natural gas, fiber, internet, communication, or electric service.

(b)

(1) An operator shall apply for the provision of a utility service through a utility's normal application process applicable to similar customers; provided, that if a utility denies the operator's application or takes another adverse action with respect to the operator's application, including denying services or prohibiting

connection to the utility's infrastructure or systems, then the utility shall provide notice of such decision to the authority as soon as practicable.

(2) If an operator's application or another aspect of the project requires a utility to make a determination regarding a subterranean or subsurface easement of the utility's and the project, then the utility may make such determination; provided, that if the utility makes an adverse determination with respect to the utility's subterranean or subsurface easements and the project, then the utility shall provide notice of such decision to the authority as soon as practicable.

(c) An adverse decision of the utility is automatically appealed to the authority upon the authority's receipt of notice under subdivision (b)(1) or (b)(2). The authority may overturn or amend the decision of the utility with respect to the application in accordance with the procedure established by the authority pursuant to § 65-13-110(a). A decision made by the authority upon the appeal of a utility's decision pursuant to subsection (b) is final for purposes of judicial review.

65-13-113. Codes and permitting for subterranean construction and operation.

(a)

(1) Except as provided in subsection (b), for subterranean construction an operator shall comply with the standards adopted pursuant to § 65-13-110(a).

(2) An operator shall submit its applications, plans, and other required documents for subterranean construction to the authority for approval in accordance with the application and approval process established by the authority pursuant to § 65-13-110(a).

(b)

(1)

(A) If the operator's subterranean construction is located or otherwise crossing under, or will be located or otherwise cross under, property owned by a local governmental entity, then the operator shall

comply with the local governmental entity's standards and submit its applications, plans, and other required documents for such subterranean construction to the appropriate local governmental entity for approval; provided, that:

(i) The local governmental entity shall not adopt a standard, ordinance, resolution, regulation, rule, or other requirement of any type that prohibits, effectively prohibits, or otherwise regulates the use of property or subterranean construction for a project in the local governmental entity's jurisdiction;

(ii) The operator may submit a request to the authority for application of the standards adopted pursuant to § 65-13-110(a) if the local governmental entity's standards are more stringent; and

(iii) The local governmental entity may waive application of its standards to the subterranean construction. If a local governmental entity waives application of its standards to the subterranean construction, then the operator must comply with the standards, regulations, and process established by the authority pursuant to § 65-13-110(a).

(B) Subdivision (b)(1)(A) must not be construed to require an operator to submit to a local governmental entity an application, plan, or other required document for subterranean construction that is or will be located under property that is not owned by the local governmental entity.

(2) No later than ten (10) business days after receipt of an operator's application, plan, or other documentation, the local governmental entity shall:

(A) Approve the application, if the plans comply with applicable standards;

(B) Provide to the submitting operator a written report identifying with specificity each deficiency that is preventing approval; or

(C) Request in writing additional information necessary to determine compliance with applicable codes.

(3) A report of deficiencies or request for additional information issued pursuant to subdivision (b)(2)(B) or (C) must:

(A) Identify all known deficiencies or information required at the time of review;

(B) Be based on objective, published standards that are applicable to the project;

(C) Not require information or impose conditions that are not directly related to compliance with applicable standards; and

(D) Not be issued for the purpose of delaying or effectively prohibiting the project.

(4) Upon resubmission of the application, plan, or other documentation by the operator addressing the identified deficiencies or providing the requested information, the local governmental entity shall, within ten (10) business days of such resubmission:

(A) Approve the application, plan, or documentation; or

(B) Issue a final written determination identifying any remaining deficiency that is directly related to an item previously identified pursuant to subdivision (b)(3)(A).

(5) A local governmental entity shall not issue successive reports of deficiencies or requests for additional information based on matters that could reasonably have been identified in an earlier review.

(6) If the local governmental entity does not approve an application, plan, or other documentation submitted pursuant to subdivision (b)(2), does not take

action as required by subdivision (b)(2) or (4), or issues successive reports or deficiencies or requests additional information in violation of subdivision (b)(5), then:

(A) The operator may appeal to the authority; and

(B) If the operator chooses to appeal to the authority pursuant to subdivision (b)(6)(A), all pending applications, plans, or documentation related to the operator's subterranean construction that is located or otherwise crossing under, or will be located or otherwise cross under, property owned by a local governmental entity must be transferred to the authority, and subsequent applications, plans, or documentation necessary for the subterranean construction must be submitted to the authority in accordance with the application and approval process established by the authority pursuant to § 65-13-110(a).

(7)

(A) The authority shall provide notice to the applicable local governmental entity if the authority receives an appeal submitted in accordance with subdivision (b)(6). The notice must include the date, location, and time for the hearings applicable to the appeal, including the hearing at which the local governmental entity may respond to the appeal.

(B) The authority may overturn or amend the decision of a local governmental entity with respect to an appealed application, plan, or documentation only to ensure compliance with applicable standards and the procedural requirements of this subsection(b). A decision made by the authority for an appeal submitted in accordance with this subdivision (b)(7) is final for purposes of judicial review.

(8) This subsection (b) does not:

(A) Authorize the authority to grant permission for subterranean construction beneath property owned by a local governmental entity without the consent of the local governmental entity; or

(B) Impair or supersede the proprietary rights of a local governmental entity with respect to property owned by the local governmental entity.

(c) The state fire marshal has exclusive jurisdiction over all plan reviews, permitting, and inspections for and enforcement of standards and codes designed to afford a reasonable degree of safety to life and property from fire and fire hazards for all construction, alterations, or repairs of the subterranean infrastructure of a transit project, including all electrical installations, plumbing systems, fire protection systems, and mechanical systems for all buildings and structures within and without the transit project.

65-13-114. Jurisdiction of three-judge panel - Criminal laws unaffected.

(a) A three-judge panel created pursuant to title 20, chapter 18 has exclusive jurisdiction over:

(1) A civil action challenging a determination made by or an action of the authority or an operator in accordance with this chapter, or otherwise brought against the authority or an operator; and

(2) A civil action brought by the authority or an operator to enforce any rights, duties, or powers of the authority or operator under this chapter, or brought pursuant to § 65-13-104(a)(5).

(b) This chapter does not affect, limit, or otherwise supersede the application of the criminal code of this state or another state law establishing a crime.

65-13-115. Emergency response authority within transit project.

(a) Notwithstanding another law to the contrary, an operator has exclusive authority for initial emergency response, emergency medical services, fire suppression,

life safety, and security operations between the points designated pursuant to § 65-13-108(b) for entry into and exit from a transit project.

(b) Subsection (a) applies to all subterranean portions of the transit project and to all stations, entrances, exits, and related facilities located between the points designated pursuant to § 65-13-108(b) for entry into and exit from the transit project.

(c) A local governmental entity shall not assert concurrent jurisdiction over emergency response activities located between the points designated pursuant to § 65-13-108(b) for entry into and exit from the transit project unless requested by the operator.

(d) This section does not:

(1) Limit the authority of the state fire marshal under § 65-13-111(c) with respect to plan review, inspection, code enforcement, or issuance of certificates of occupancy; or

(2) Prohibit coordination between an operator and a local governmental entity for mutual aid, interoperability, or incident support.

(e) The operator shall adopt written emergency response and life safety protocols consistent with applicable state and federal law.

65-13-116. Conflicts of law. Taxation.

(a) To the extent that this chapter conflicts with another provision of state law, this chapter controls.

(b) This chapter does not supersede title 67. An operator shall pay all applicable state and local taxes, including, but not limited to:

(1) Franchise and excise taxes in accordance with title 67, chapter 4, parts 20 and 21;

(2) Sales and use taxes in accordance with title 67, chapter 6;

(3) Business taxes in accordance with title 67, chapter 4, part 7; and

(4) Real and tangible personal property taxes in accordance with title 67, chapter 5.

65-13-117. Federal funding.

This chapter must not be construed to jeopardize federal funding.

SECTION 2. Tennessee Code Annotated, Section 20-18-101(a), is amended by adding the following as a new subdivision:

(3) A civil action:

(A) Challenging a determination made by or an action of the subterranean transportation infrastructure coordination authority created pursuant to title 65, chapter 13, or the operator of a transit project that is subject to the Subterranean Transportation Infrastructure Coordination Act, compiled in title 65, chapter 13; or

(B) Brought by the authority or an operator to enforce any rights, duties, or powers of the authority or operator under title 65, chapter 13, or brought pursuant to § 65-13-104(a)(5).

SECTION 3. Tennessee Code Annotated, Section 55-30-105, is amended by deleting the section and substituting:

A political subdivision shall not, by ordinance, resolution, or another means, prohibit or regulate within the jurisdictional boundaries of the political subdivision the use of:

(1) An ADS-operated vehicle that is operating in compliance with this chapter and otherwise complies with all laws of the political subdivision;

(2) A motor vehicle operated at any level of autonomous technology, as defined by § 55-9-105(c)(6)(B), not otherwise included in this chapter; or

(3) A motor vehicle operated in connection with a transit project governed by the Subterranean Transportation Infrastructure Coordination Act, compiled in title 65, chapter 13.

SECTION 4. Tennessee Code Annotated, Section 55-8-202, is amended by deleting the section and substituting:

(a) As used in this section:

(1) "Autonomous technology" means technology installed on a motor vehicle that has the capability to drive the vehicle on which the technology is installed in high or full automation mode, without any supervision by a human operator, with specific driving mode performance by the automated driving system of all aspects of the dynamic driving task that can be managed by a human driver, including the ability to automatically bring the motor vehicle into a minimal risk condition in the event of a critical vehicle or system failure or other emergency event;

(2) "Driving mode" means a type of driving scenario with characteristic dynamic driving task requirements including, but not limited to, the following:

- (A) Expressway merging;
- (B) High speed cruising;
- (C) Low speed traffic jam; and
- (D) Closed-campus operations;

(3) "Dynamic driving task" means the operational and tactical aspects of the driving task, but does not include the strategic aspect of the driving task;

(4) "Operational" means steering, braking, accelerating, and monitoring the vehicle and roadway;

(5) "Political subdivision" means a county, municipality, metropolitan government, or incorporated city or town in this state;

(6) "Strategic" means determining destinations and waypoints; and

(7) "Tactical" includes, but is not limited to, the following:

- (A) Responding to events; and
- (B) Determining when to change lanes, turn, or use signals.

(b) A political subdivision shall not, by ordinance, resolution, or another means, prohibit within the jurisdictional boundaries of the political subdivision a motor vehicle equipped with autonomous technology if the motor vehicle:

(1) Otherwise complies with all safety regulations of the political subdivision; or

(2) Is operating in connection with a transit project subject to the Subterranean Transportation Infrastructure Coordination Act, compiled in title 65, chapter 13.

SECTION 5. Upon the creation of the subterranean transportation infrastructure coordination authority pursuant to Tennessee Code Annotated, Section 65-13-102, the Tennessee Code Commission shall amend the appropriate statute in Tennessee Code Annotated, title 4, chapter 29, part 2, to sunset the authority for purposes of reviewing the authority subject to termination two (2) years after its creation and the constitution of its board of directors.

SECTION 6. If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 7. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 8. For purposes of promulgating rules and carrying out administrative duties necessary to effectuate this act, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect July 1, 2026, the public welfare requiring it.